Price action explained

Price actions is just a matter of using trend lines, support and resistance ……that's all

The most important part is to know how to combine the 3 to come up with a perfect entry

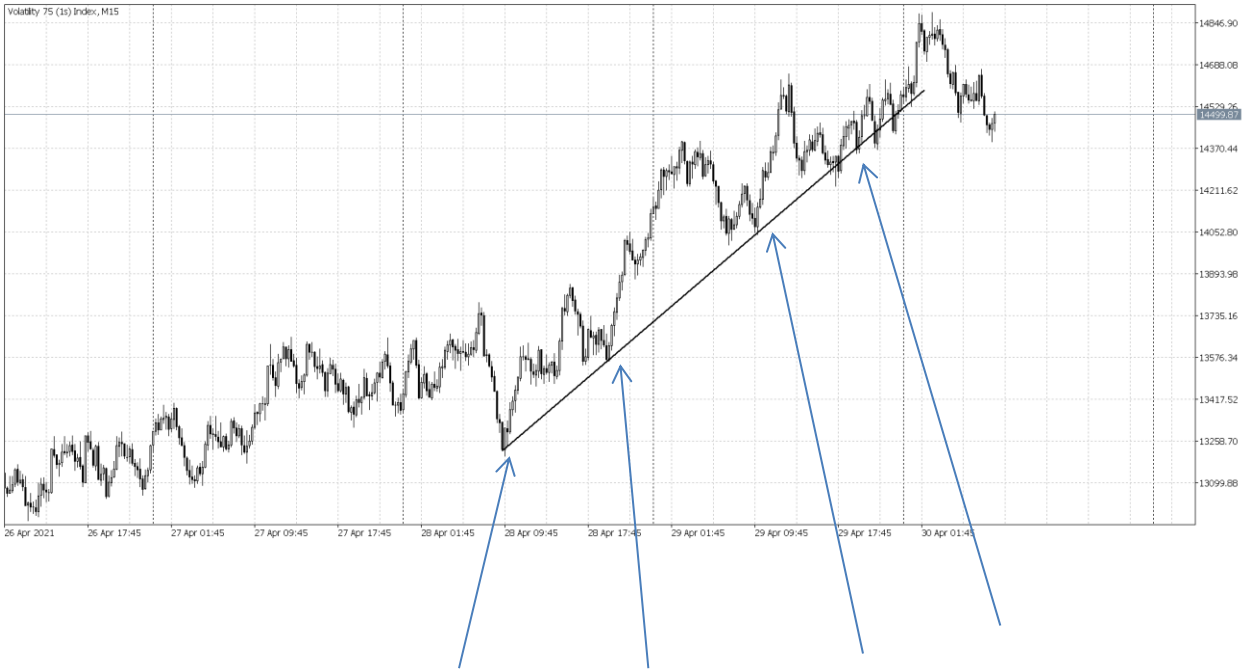
To find a perfect entry we use the following types of price action combinations

- support and resistance
- Trend lines
- Ranging zones
- Trend following
- Retests and break out
- Wedges break outs
- Channels

Trend lines

- Trend lines are simply describes as connection between either 2 or more higher highs or lower lows
- Lower lows are simply two or more picks that forms an up trend
- Higher highs are simply two or more picks that forms a down trend

Eg



- On the above picture we have lower lows shown with blue arrows
- You simple connect them using a trend line
- A trend line is found on your mt4 or mt5 I bet we all know that
- Now that we know lower lows
- Lets learn how to trade using trend line that connects them

To successfully trade using trend lines ,

- Find two picks (v shaped reversals) that can easily be connected using a trend line
- Connect the picks with a trend line and extend it in such a way that when the market hit the trend line for the third time you can sport it and enter trades
- Example



- Above we have an example on how to successfully enter a buy trade using a trend line
- I simply drawn the trend line using two lower lows shown with blue arrows and extended the trend line
- Once the market touched my trend line for the third time shown with red arrow , I entered a buy



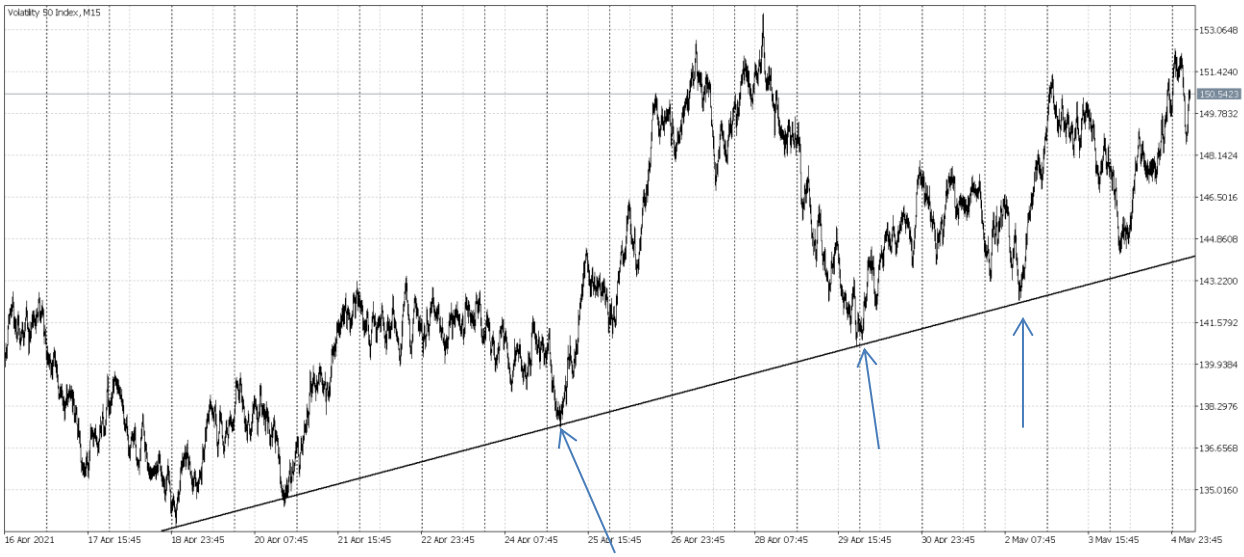
- On the above we have a perfectly drawn trend line combined with two perfect higher highs
- So we wait for the market to touch the trend line for the third time
- We will enter once the market rejects on the trend line
- We enter a sell and our stop loss is 10pips above the trend line
- To draw the trend line , we connected the two points where he market reversed before shown with two arrows
- We always enter on the third or the fourth touch of the trend line



- We also have crash 1000 above
- It touched the trend line drawn for the third time
- We sell
- Remember on crash we only check sell setups to catch spikes as it always moves fast when going down and slow when going up (for boom it's the opposite)
- I entered a sell trade here
- Even gave students a signal



- You can see we in profits already
- By now you should be understanding trend lines



- Above we have a perfect trend line following trend
- We had a lot of touches to our trend line
- And all trades where successful
- Entries shown with blue arrows

- Now moving on
- A lot of times you cannot rely only on the trend line
- So we mix the trend lines with support and resistance
- A support is a zone where the market touches and goes up
- A resistances is a zone where the market touches and goes down
- Simply explained
- Examples below

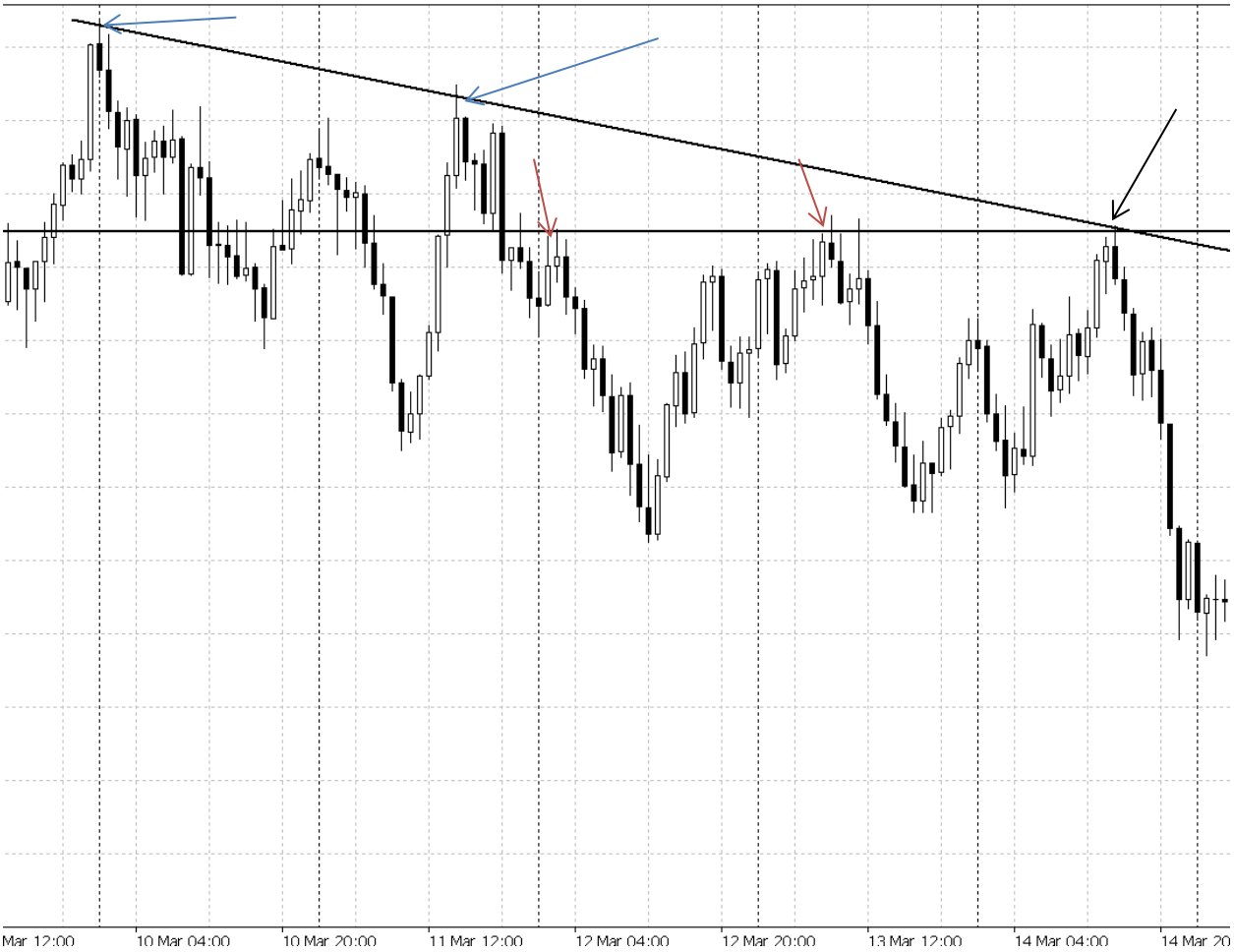


- The above shows an example of a support
- When the market touches the zone it goes up
- Its so simple
-



- Above is an example of resistance
- You can see that when the market touches the zone , the market reverses

- Now that you know support and resistance
- And also trend line
- Lets mix them
- Below is an example where we take trades using trend line and support or resistance

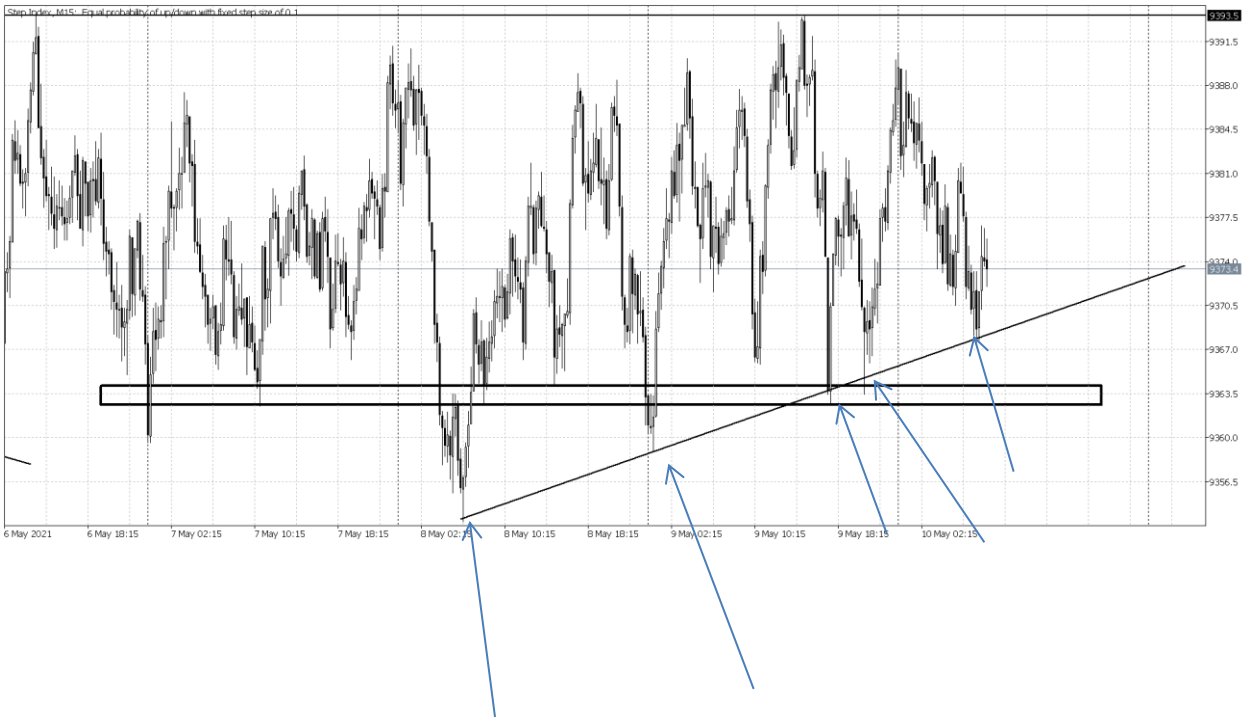


- Above we have one of the most powerful combinations of trend line and resistance
- You can see that the trend line touched two times shown with blue arrows
- Then we have a valid resistance shown with orange arrows and a black line
- The market reversed two times on the resistance
- So once the market touches the resistance plus the trend line we sell
- Entry shown with black arrow

Now that we know how to combine trend line plus support and resistance

- We move to break outs and retests
- Sometimes the market can touch the trend line two times and breaks it
- On this we check if we have support or resistance near the trend line
- If we have a support and the market breaks the trend line downwards we wait for the market to break the support and retest it before we sell
- If we have a resistance and a trend line drawn and the market breaks the trend line upwards we wait for break out of resistance once it retest it we enter a buy

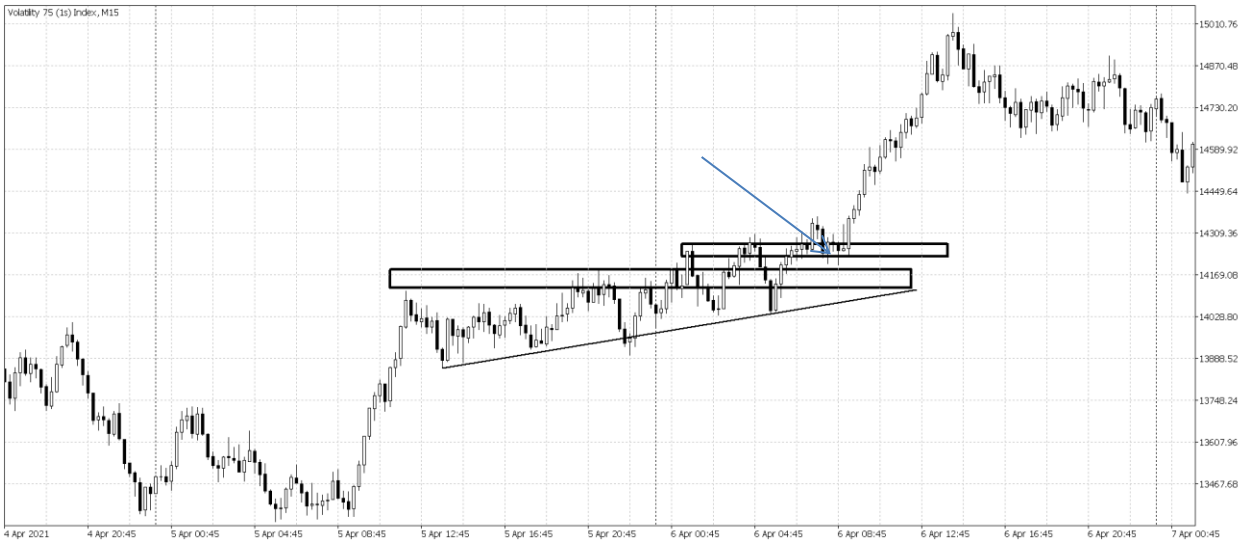
Examples



- On the above we have a perfect trend line
- And a perfect support
- If the market breaks the trend line
- And the support
- We wait for retest and enter a sell
- Lets check the below picture where the above happened



- Above we have a trend line plus a support
- The market broke the trend line
- Broke the support
- Now we wait for retest on support and sell
- You can see the above happened nicely
- More examples below



- On the above we have a different story
- Market respected trend line and broke resistance
- You enter once the market retests the break out of the support shown with blue arrow



- We all see above that we had a respected trend line
- Market came to it and broke it
- Then retested it shown with an orange line
- We buy
- Retest is simply the rejection on top of a broken trend line



- Above we have a perfect trend line
- Broken later on
- Waited for the market to break resistance
- Entered a buy shown with blue arrow
- I bet by now you understand this things

- Now lets move to channels and new highs and new lows

- If the market is forming a new high or new low
- Normally it moves in a form of a channel
- Our job on the channel is to catch the buys or the sells
- Example follows



- Above we have a channel
- We enter when the market touches top trend line
- Or bottom trend line
- Bottom we buy
- Top we sell that’s it

Now wedges break out

- With a wedge
- You wait for the market to break out of it
- Wait for a retest and enter a trade

Eg



- We have a wedge above
- We will wait for the market to break out of the wedge and retest the wedge
- After we take a sell trade

More will be shared in the group and ill make more pdfs about this